Northstar Services

Complaint Handling and Escalation Policy

Complaint Intake, Severity Assessment, Escalation, Investigation and Resolution

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Classification	Internal Use

1. Purpose

This policy establishes a consistent method for receiving, classifying, investigating, escalating, resolving, and reporting customer complaints. A complaint is any expression of dissatisfaction that requires a response beyond a routine information request, including dissatisfaction with a product, service, employee conduct, billing outcome, delay, communication, or failure to meet a stated commitment.

The objective is not merely to close complaints quickly. The objective is to identify the customer's requested outcome, assess business and customer risk, correct the immediate problem where possible, and identify recurring causes.

2. Complaint vs. Routine Request

A customer asking how a feature works is normally a service inquiry. A customer stating that the company repeatedly failed to provide the promised service and requesting corrective action is a complaint.

Employees must not avoid complaint classification because the customer is calm, because the issue can probably be fixed immediately, or because the complaint was received verbally. If dissatisfaction is explicit and a response or corrective action is requested, classify the interaction according to this policy.

A complaint may also be created internally when a representative identifies a recurring failure affecting multiple customers, even if no individual customer uses the word "complaint.

3. Complaint Severity

Severity is determined by impact, urgency, regulatory or contractual exposure, customer vulnerability, financial exposure, reputational risk, and whether the issue is isolated or systemic.

Level 1 — Standard: isolated dissatisfaction with limited impact and no apparent policy breach. Frontline resolution is appropriate where authority exists.

Level 2 — Significant: repeated failure, material service disruption, disputed charge, missed commitment, repeated contact, or issue requiring another department. Team-lead visibility is required.

Level 3 — Critical: suspected fraud, privacy or security incident, serious employee misconduct, discrimination or harassment allegation, material financial impact, legal threat, widespread service failure, safety concern, or issue involving a vulnerable customer where normal handling may create harm. Immediate specialist escalation is required.

When in doubt between two levels, select the higher level until a supervisor confirms the classification.

4. Intake Procedure

When a complaint is received, the representative should first allow the customer to explain the issue without unnecessary interruption. Then confirm the requested outcome. Record the customer's description, relevant dates, transaction or service references, previous contacts, and any commitments previously communicated.

The representative must avoid arguing about whether the customer is "right." The initial response should acknowledge the concern without admitting liability: "I understand why you are concerned, and I will review what happened and explain what we can do next."

If the complaint concerns the representative handling the current contact, the representative should offer transfer to a supervisor when available. The representative must not edit or delete prior notes to make the interaction appear more favorable.

5. Immediate Resolution

A complaint may be resolved during first contact when the requested remedy is within the representative's authority and all required checks have been completed. Examples include correcting a documented service setting, explaining a misunderstanding using an approved policy, or issuing an authorized service recovery credit.

If the requested remedy exceeds authority, do not promise the outcome. Explain that additional review is required and provide the expected next step. The fact that a customer is dissatisfied does not by itself authorize an exception.

6. Escalation Procedure

Escalate a complaint when the severity criteria are met, when the requested remedy exceeds the employee's authority, when a policy conflict exists, when the customer has already experienced a failed resolution, or when the issue may affect multiple customers.

The escalation record must contain a concise chronology, customer impact, requested outcome, relevant evidence, actions already taken, current risk, and the specific decision needed from the receiving team. Avoid sending an escalation that merely says "customer is unhappy."

Level 3 matters must be routed through the designated critical-incident or specialist channel immediately. The frontline employee remains responsible for communicating the next customer-facing step unless ownership is explicitly transferred.

7. Investigation Standards

Investigators should establish facts from authoritative records before drawing conclusions. Sources may include account history, case notes, invoices, system logs, approved communications, service records, and documented commitments.

Where evidence conflicts, document the conflict rather than selecting the evidence that supports a preferred outcome. Do not alter source records. Corrections should be made through the system's audit-supported correction mechanism.

Investigators should distinguish root cause from contributing factors. For example, "invoice generated with incorrect plan code" may be a root cause while "customer contacted support after receiving the invoice" is an event in the complaint timeline.

8. Resolution and Customer Communication

The final response should state the outcome in plain language, the corrective action taken, any limitation or denial and its reason, and any further route available to the customer where applicable.

Do not disclose internal employee disciplinary information, confidential investigation details, security controls, or personal information about another customer. If a complaint about an employee is substantiated, communicate the appropriate service outcome without disclosing private employment action.

If the complaint is not upheld, explain the evidence or policy basis sufficiently for the customer to understand the decision. Avoid dismissive wording such as "there is nothing we can do.

9. Reopened and Repeat Complaints

Reopen a complaint when the promised corrective action was not completed, new evidence materially changes the case, the customer identifies a factual error, or the customer uses an approved review or appeal route.

Repeat complaints should be linked to the original complaint where possible. Multiple complaints about the same underlying defect must be considered for systemic escalation. Supervisors should review repeated complaint themes at least monthly and identify training, product, policy, or process improvements.

10. Complaint Metrics and Governance

Management should monitor complaint volume, severity mix, repeat-contact rate, time to first response, time to resolution, reopened complaints, escalation aging, root-cause categories, and customer outcomes.

Metrics must not be used to encourage premature closure. A team that closes complaints quickly by transferring or reclassifying them without resolving the underlying issue is not meeting this policy. Quality reviews should include a sample of closed complaints and escalated complaints to detect this behavior.

Appendix A — Quick Decision Reference

Complaint with legal/security/privacy implications	Treat as high severity and route immediately to the designated specialist process.
Customer requests an exception	Collect facts and submit through the approved exception authority.
Previous resolution failed	Reopen/link the existing case and reassess severity.
Complaint affects multiple customers	Escalate as a systemic issue, not only as individual cases.
Refund already issued	Do not issue another refund; verify transaction history and route duplicates.
Unverified third party requests information	Do not disclose account information; use the authorization process.